

Week 4: Positioning and Timing

Lecture 4 of 5: G10 FX

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By the end of today you will be able to

- ✦ Read **positioning**: who is already in the trade
- ✦ Tell **risk on** from **risk off**, and which currencies win in each
- ✦ Spot the **flows and events** that move currencies around dates
- ✦ Recognise the warning signs of **intervention**
- ✦ Use technicals for **timing**, not for the view
- ✦ Build a **catalyst calendar** and fill your **indicators panel**

Opening question: **in August 2024, USD/JPY fell about 20 yen in a month. Fundamentals barely changed. What happened?**

Checking your 6 to 12 month box

Common fixes

- ✦ **Real rates:** $\text{real} = \text{nominal} - \text{inflation}$.
Inflation **falls**, rates hold: real rate **rises**
- ✦ **Horizon:** use pricing a year out, not just the next meeting
- ✦ **Valuation is not timing:** “cheap” needs a catalyst
- ✦ **Consistency:** does it fit your 1 to 3 month box?

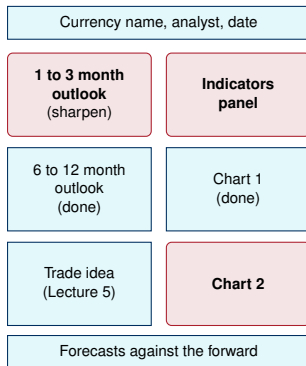
Level versus change

The **level** of wages or rates matters over 12 months.

The **change** matters over 3 months.

Both can point different ways, and both can be right.

Where today fits on the page



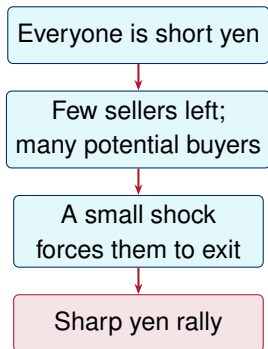
✶ Week 2: **what is priced**

✶ Week 3: **what pulls the currency over a year**

✶ Today: **who is already in the trade, and what could force them out**

A correct view can still lose money if everyone else already holds it.

Who is already in the trade?



- ✦ Prices move when positions **change**
- ✦ A **crowded** trade has little fuel left to go further
- ✦ But it has plenty of fuel to **reverse**
- ✦ So crowding makes the risk **asymmetric**: small upside, large downside

Rule: when a view is popular, ask **what is left to buy**.

Reading the CFTC positioning data

Commitments of Traders (COT)

- ✳ From the CFTC, a US regulator
- ✳ Recorded **Tuesday**, released **Friday**
- ✳ Speculators' net futures position: longs — shorts

Watch the direction

- ✳ It is in the **foreign currency**: net long yen means betting on USD/JPY **falling**

How to use it

1. Note the position and its change since your last update
2. Compare with 3 years using a z -score
3. Beyond ± 2 : **extreme**, a crowded trade

Limits: futures are a small part of FX, and the data is a few days old.

Two examples: the yen

July 2024: extreme

Net short about $-184,000$ contracts, the largest bet against the yen since 2007

Signal: very crowded; lots of fuel for a reversal

Then: the August unwind, USD/JPY down about 20 yen

September 2026: a flip

From $-92,200$ to $+10,800$ (week reported 11 Sep)

Signal: no longer betting against the yen; not crowded either way

So: a short squeeze is less likely, but so is a fresh yen rally from new buying

Quick check: 3 year average $-60,000$, standard deviation $40,000$, today $-150,000$. What is z ? (Answer: -2.25 , extreme)

Sources: CFTC; 2026 figures as reported by FX.co.

What options tell you: risk reversals

Options are insurance

- ✳ A **call** pays if the pair rises; a **put** if it falls
- ✳ People pay more to insure against what they **fear**

The risk reversal: call price — put price (in volatility)

- ✳ **Positive:** calls dearer, the market fears a **rise**
- ✳ **Negative:** puts dearer, it fears a **fall**

Example: USD/JPY, 1 month

Risk reversal = -1.5 (illustrative)

USD/JPY puts cost more than calls, so traders are paying to protect against a **sharp fall** in USD/JPY: a **yen rally**

CFTC shows **what people hold**. Risk reversals show **what they fear**.

Data mostly on Bloomberg; if unavailable, rely on CFTC.

Risk on, risk off

Risk on: calm, growing

Investors buy riskier assets for higher returns

Winners: AUD, NZD, NOK, tied to growth and commodities

Carry trades work: you earn the rate gap

Signs: stocks rising, VIX low

Risk off: scared, selling

Investors sell risk and run to safety

Winners: USD, JPY, CHF, the safe havens

Carry trades unwind: JPY and CHF rally

Signs: stocks falling, VIX spiking

In a shock, sentiment can **overwhelm** rate differentials for days or weeks.

Why safe havens rise, and how to spot fear

Why the havens rise

- ✳️ **USD:** the world borrows in dollars, so everyone needs them in a crisis
- ✳️ **JPY and CHF:** Japan and Switzerland own large foreign assets and bring money home when scared
- ✳️ **Carry unwinds:** trades funded in yen and francs must be repaid

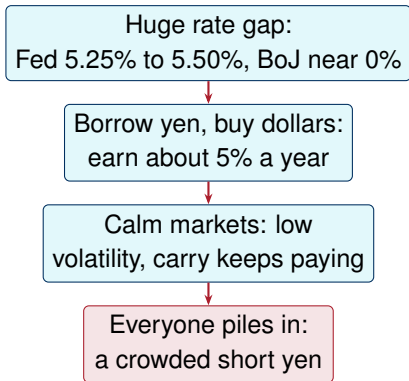
The VIX: the price of fear

Expected S&P 500 swings over the next month, worked out from option prices. When investors fear a fall, they pay more for protection and the VIX rises.

Below 15	Calm
15 to 25	Normal
Above 30	Stress: risk off
Above 50	Panic (Mar 2020, Aug 2024)

TradingView: TVC:VIX

Case study, part 1: the set up (2024)



- ✦ USD/JPY climbed from about **141** in January to about **162** in early July
- ✦ Speculators were net short about **184,000** yen contracts: the largest since 2007
- ✦ The trade **worked**, so more people joined, making it more fragile

A loaded spring: little left to push the yen lower, and many positions needing the same exit.

Case study, part 2: the trigger and the unwind

Date	What happened	Why it hurt the short yen trade
11 to 12 July	Soft US inflation; Japan intervenes to buy yen	Fed cuts look closer; first sign the yen can bite back
31 July	BoJ hikes to 0.25% and signals more	The rate gap starts to narrow from the Japanese side
2 August	Weak US jobs report; unemployment rises to 4.3%	Big Fed cuts priced: the gap narrows from the US side too
5 August	Nikkei falls 12.4%, its worst day since 1987; VIX briefly above 65	Risk off : everyone exits at once, buying back yen
7 August	BoJ deputy governor: no hikes while markets are unstable	The panic eases and markets stabilise

Result: USD/JPY fell from about 162 to 142 (12%) in five weeks, while the rate gap moved well under 1 point. **Positioning explains the size of the move.**

Flows: trades that are not views

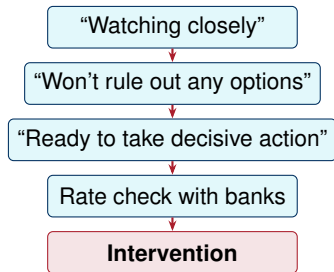
The idea

- ✂ Some FX trades happen for **mechanical** reasons, not because anyone has a view
- ✂ They land on **predictable dates**
- ✂ They can move prices for hours or days, then fade

Flow	What happens
Month end	Funds whose US shares rose sell dollars to keep their currency mix fixed
Option expiry	Hedging of big options can hold spot near a round level
Japan's year end	Firms bring profits home before March and September: they buy yen
Holidays	Few traders, so small orders move prices more

Use: flows rarely change your **view**, but they can change **when** you trade.

Intervention: the warning signs



The language escalates before officials act

31 July 2026: a joint intervention

Japan and the US bought yen with USD/JPY near **164**, the first joint action since 1998.

USD/JPY fell to about 155, but was back near 159 within two weeks.

Intervention **caps** a move and buys time. It does not change the rate gap, so it rarely reverses a trend on its own.

Technical: three simple tools

Tool	What it is	How to read it
Trend: moving averages	The average price over the last 50 or 200 days, redrawn each day. It smooths out noise	Spot above both: uptrend. Below both: downtrend. The 50 day crossing the 200 day often marks a change of trend
Key levels: support and resistance	Prices where buying or selling has stopped a move before: round numbers, recent highs and lows	Orders cluster there (stop losses, options, intervention). A level that breaks often leads to a fast move
Momentum: RSI	Relative Strength Index, 0 to 100: how fast and one sided recent moves have been	Above 70: overbought , the move may be stretched. Below 30: oversold

All three are free on TradingView: add “Moving Average” and “RSI” as indicators.

Technicals: a timing tool, not a view

How we use them

- ✳ The **view** comes from rates and fundamentals
- ✳ Technicals help choose the **entry** and where you are **wrong**
- ✳ Don't fight a strong trend without a catalyst

Why they work at all: many traders watch the same levels, so orders cluster there.

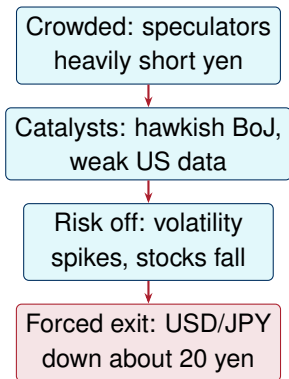
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Example: our long yen view

1. **View** (Week 3): yen higher over 12 months
2. **Trend**: USD/JPY still above its 200 day average, so the market disagrees for now
3. **Wait** for a trigger: USD/JPY failing at 160, or falling below its 50 day average
4. **Stop**: above 164, the level where intervention came last time

Illustrative: check the current chart before using it.

So what happened in August 2024?



Today's ideas, in one example:

1. **Positioning** decides how big a move can get
2. **Sentiment** can overwhelm rates in a shock
3. **Catalysts** decide when it happens
4. Intervention and technicals help with **timing**

Always ask: who is already in the trade?

Building a catalyst calendar

USD/JPY, next 3 months

Date	Event	What is priced	What would surprise
27 to 28 Oct	Fed meeting	Fed near its projected peak	A signal of further hikes
30 Oct	BoJ meeting	About 26% chance of a hike	A hike, or strong guidance for December
Monthly	US CPI and jobs	Inflation easing as energy fades	A hot core reading
Monthly	Tokyo and national CPI	Near 2%	A fall well below target
8 to 9 Dec	Fed meeting		
18 Dec	BoJ meeting	About 39% chance by this meeting	

For each event: **what is priced**, and **what would move us**. Fill the blanks as dates approach.

The 1 to 3 month box, sharpened

USD/JPY, 1 to 3 months: Week 2's box, now with positioning

teaching example

Question	Claim	Evidence
1 What is priced?	A slow BoJ: no hike in October, maybe December	About 26% chance of a hike on 30 Oct, 39% by 18 Dec
2 Our view	USD/JPY higher , but with limited upside	Core CPI below 2%; the Fed stays firm. Intervention near 164 caps the move
3 Positioning	Not crowded : less risk of a sudden yen squeeze	Speculators flipped from -92,200 to +10,800 contracts (CFTC)
4 What changes our mind	A BoJ hike on 30 Oct, or a risk off shock	Both would narrow the gap or trigger safe haven buying

Positioning tells you **how far** a move can go, not which way.

The indicators panel

Indicator	Covered in
Spot and 3 month forward	Weeks 1 and 2
Policy rate; next meeting	Week 2
Priced change, next 2 meetings	Week 2
2 year spread; 1 month change	Week 2
Real rate gap	Week 3
CPI against target	Week 3
Valuation: REER or model z	Week 3
CFTC net position	Week 4

- ✦ The **same rows** on every page, so pages can be compared
- ✦ Every number has a **date**
- ✦ The panel holds the numbers, so your text can make the **argument**

Exercise: a full rough draft of your page

Step 1: update

- ✦ Your 1 to 3 month box, adding **positioning**
- ✦ A **catalyst calendar** for the next 3 months
- ✦ The **indicators panel**, every row dated

Step 2: complete

Chart 2, with the claim as its title. Then put everything on one page with your 6 to 12 month box and Chart 1.

Next week we add the **trade idea**, and Issue 1 is published in week 6.

Cheat sheet: positioning and sentiment by currency

Pair	In risk off	Positioning data	Flows and events to watch
EUR/USD	Usually falls	CFTC: euro futures	ECB meetings; month end rebalancing
USD/JPY	Usually falls (yen rallies)	CFTC: yen futures	BoJ; intervention language; September and March fiscal ends
GBP/USD	Usually falls	CFTC: sterling futures	BoE; UK Budget and fiscal events
USD/CHF	Usually falls (franc rallies)	CFTC: franc futures	SNB; EUR/CHF moves
USD/CAD	Usually rises	CFTC: Canadian dollar futures	Oil inventories; US and Canada trade news
AUD/USD	Usually falls sharply	CFTC: Australian dollar futures	China data releases; iron ore

CFTC data: cftc.gov (Commitments of Traders), published Fridays for the previous Tuesday. Easier charts: Investing.com and MacroMicro.